

Audit of Information Technology Service Contracts

Report No. AUD-2026-014

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Executive Summary

This audit reviewed the information technology service contracts held by BMLS, the Brightwater Municipal Library System, for the 2025 fiscal year. It covered contract award, service level monitoring and the claiming of service credits across the catalogue analytics, help desk and network contracts.

The audit found that the catalogue analytics contract was renewed without competition, that service credits were never claimed, and that a branch network outage lasted much longer than the contracted restoration time. Two recommendations are made.

Background

The Brightwater Municipal Library System operates eleven branches and a central library and serves about 320,000 residents. Its catalogue analytics service is supplied by Brightwater Analytics, a software company that shares the city name but has no other connection with the library system.

The help desk and network contracts are held by two regional providers and include service credits for missed restoration times. The Northgate Branch Library is the busiest branch and depends on the network contract for its public access terminals.

The work was led by Freddy Heidenreich and supported by Alivia Jacobson. The team conducted 26 structured interviews, examined a sample of 101 records and reviewed 229 internal documents between 18 January 2026 and 18 March 2026. Records held by third parties were not independently verified except where this document says otherwise.

Findings

Finding 1: The catalogue analytics contract with Brightwater Analytics was renewed in 2025 without competitive tender. The renewal was approved as a sole source purchase although two comparable products were available on the state contract. Severity: High.

Finding 2: Service credits of USD 9,400 were due under the help desk contract but were never claimed. The credits related to eleven tickets that breached the four hour response time in 2025. Severity: Medium.

Finding 3: The Northgate Branch Library network outage in March 2026 lasted 14 hours against a contracted restoration time of four hours. The outage was caused by a failed switch for which no spare was held on site. Severity: Low.

Recommendations

Recommendation 1: Competitively tender the catalogue analytics contract before its next renewal in 2027. Target: Brightwater Municipal Library System Procurement. Status: Not started.

Recommendation 2: Claim all outstanding service credits and review credits due at the end of each quarter. Target: Brightwater Municipal Library System Finance Office. Status: In progress.

Financial Impact

Contract values below are annual figures taken from the contracts register for the 2025 fiscal year. The annual catalogue analytics contract with Brightwater Analytics is valued at USD 275,000. Unclaimed service credits under the help desk contract total USD 9,400. Total spending on information technology service contracts was \$1.3 million in the 2025 fiscal year.

Appendix

Appendix A: Records examined. The 229 internal documents reviewed included 27 purchase orders, 66 invoices and 33 items of correspondence, all indexed under working reference CLEH5T.

Appendix B: Contracts reviewed. The audit reviewed the catalogue analytics contract, the help desk contract and the wide area network contract, together with the twelve monthly service reports supplied under each.

Appendix C: Outage timeline. The Northgate Branch Library switch failed at 08:20 on 12 March 2026, the provider was notified at 08:35, a replacement switch arrived at 19:10 and service was restored at 22:20.

The evidence register preserves the relationship between each reviewed item and its original record. Working copies were organized by topic, with separate references for correspondence and supporting schedules. A reference identifies the material examined; it does not establish that every statement in that material is accurate. Conclusions remain limited to the findings expressly stated in this report.

Review procedures distinguished statements made during interviews from observations supported by retained documents. Where an interview described an event, the team checked the available record for the same event before relying on the statement. Material that could not be reconciled was retained with its context so that a later reader could inspect the basis for the conclusion.

The sampling approach was intended to describe the matters selected for examination. It was not designed to estimate the frequency of an issue across records outside that selection. Readers should therefore interpret a finding in relation to its stated scope, period and subject. Silence about another activity does not imply that the activity was examined or found satisfactory.